

# Trump Economic Approval → Policy Pivot Framework

| Economic Approval | GOP Approval | Generic Ballot |
|-------------------|--------------|----------------|
| 29%               | 82%          | D+6            |

**Market context:** VIX 31.0 | Gold \$4,495 | WTI \$102.00 | Brent \$109.00 | Gas \$3.96

**Rates & yield:** 10Y 4.35% | 2s10s +47bp | 30Y 4.78% | ERP 0.46% | Fed hike probability 8%

**This week:** Oil surged past \$100 as Iran formalized Hormuz toll booth; S1 stagflation lock-in probability rising to 30%.

**Positioning update:** The oil surge past \$100 strengthens S1's stagflation thesis and weakens S3's ceasefire trap. Increase gold and steeper exposure. Gas accelerating ~\$0.24/week per EIA — if it crosses \$4.50 without Congressional action, S2 defection math should accelerate rapidly.

### THRESHOLD ALERTS

- CRITICAL: Econ approval (29%) below Biden all-time low (32%)
- CRITICAL: WTI (\$102) crossed \$100 critical threshold
- WARNING: GOP approval (82%) approaching 80% danger zone
- WARNING: VIX (31) in elevated uncertainty zone
- WARNING: Gas price (\$3.96) accelerating toward \$4.00+ (West Coast already \$5.26)

### SCENARIO PROBABILITIES

**No pivot: 30%** (strengthening) — WTI surged past \$100 to \$102; Iran formalizing Hormuz chokehold strengthens the dual supply shock thesis.

**Tariff rollback (base case): 45%** (stable) — Farm state fertilizer shortage adds pressure but no new Republican defections; generic ballot narrowed to D+6.

**Oil trap: 25%** (weakening) — Oil surging past \$100 and Iran's Hormuz toll booth contradict the ceasefire-driven oil drop thesis.

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**Notes:** Only 2 days since baseline — polling data largely unchanged (same Reuters/Ipsos 3/20-3/22 period). Key moves: WTI \$94→\$102 (+9%), Brent \$104→\$109 (+4%). Iran formalized Hormuz toll booth regime. Pakistan FM says will 'soon host' US-Iran talks. Yemen Houthis claimed first missile attack on Israel since war started. China opened investigations into US trade practices. USMCA renegotiation starting Monday. Section 122 replacing SCOTUS-struck IEEPA tariffs. Generic ballot narrowed from D+9 to D+6 (RCP avg) — driven by pollster mix, not necessarily real shift. West Coast gas already \$5.26/gal per EIA. 'No Kings' protests drew large crowds in 3,000+ cities (March 29). S&P; 500 in longest losing streak since 2022.

**Iran status:** War continues. Iran formalizing Hormuz toll booth. Pakistan to host US-Iran talks. Houthis struck Israel. No ceasefire.

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